IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an appeal by way of Stated Case on a question of law for the opinion of the Court of Appeal under and in terms of section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

CA Case No: CA/TAX/15/2020
Tax Appeals Commission No.
TAC/VAT/010/2017

CA Case No: CA/TAX/22/2023
Tax Appeals Commission No.
TAC/VAT/023/2018

Sri Lanka Insurance Corporation Limited,
No.21, Vauxhall Street,
Colombo 02.

Appellant

Vs.

Commissioner General of Inland Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Respondent

Before: **M.C.B.S. Morais J.**
&
Annalingam Premashanker J.

Counsel: Nihal Fernando, PC with Harshula Seneviratne instructed by Manjula Jayathilaka for the Appellant.

Chaya Sri Nammuni, DSG for the Respondent.

Written Submissions:

CA/TAX/15/2020 By the Appellant – on 08.02.2024, 04.03.2026

By the Respondent – on 28.04.2025, 08.07.2026

CA/TAX/22/2023 By the Appellant – on 04.03.2026, 30.10.2023

By the Respondent – on 24.06.2024

Argued on: 14.01.2026

Decided On: **09.07.2026**

JUDGMENT

M.C.B.S. Morais J.

As reflected in the journal entry dated 27th of April 2026, the parties agreed that CA/TAX/22/2023 and CA/TAX/15/2020, which involve the same parties and raise substantially identical issues of law, be disposed of by way of a common judgment. Accordingly, this judgment is delivered in respect of both appeals.

CA/TAX/22/2023

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 27th of January 2023. This appeal is filed under Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessment made for the taxable period 1st of January 2013 to 31st of December 2013 and the taxable amount in issue is Rs. 232,031,594.00 with a penalty of 125,297,060.00.

FACTUAL BACKGROUND

The Sri Lanka Insurance Corporation Ltd (hereinafter will be referred to as the Appellant) is a Public limited company incorporated and domiciled in Sri Lanka. The principal activity of the Appellant is carrying on insurance business in Sri Lanka. The business of the Appellant is regulated by the Regulation of Insurance Industry Act, No. 43 of 2000 (as amended).

The Appellant has submitted the VAT return for the above taxable period, which was rejected by the Assistant Commissioner of Inland Revenue by the letter dated 28th of June 2016. Accordingly, the Assistant Commissioner has issued an assessment by the Notice of Assessment dated 29th of June 2016. The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in his determination dated 23rd of July 2018 determined the appeal by upholding the assessment issued by the Assistant Commissioner. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC). The TAC after considering the submissions made by both parties, dismissed the appeal by the determination dated 27th of January 2023 and confirmed the determination made by the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

I. *"Did the Tax Appeals Commission erred in failing to consider that the determination of the Commissioner General is time barred in law?*

II. *Did the Tax Appeals Commission erred in law by failing to consider that a Deputy Commissioner has no legal authority to register the Appellant for the purpose of VAT on Financial Services under Section 14 (1) (c) of the VAT Act?*

III. *Did the Tax Appeals Commission erred in law when it came to the conclusion that the Appellant was liable to pay Value Added Tax on Financial services?*

IV. *Did the Tax Appeals Commission erred in law when it came to the conclusion that the Appellant was liable to pay Value Added Tax on Financial Services?*

V. *Did the Tax Appeals Commission erred in law when it concluded that the Appellant was liable to pay Value Added Tax on Financial Services but did not quantify of Appellant's liability in terms of the Act by failing to take into consideration Section 25 C (5) (a) and (c) of the Value Added Tax Act, No.14 of 2002 (as amended)?*

VI. *Did the Tax Appeals Commission erred in law by concluding that the Appellant is involved in the business of supplying Financial Services in terms of Section 25 A read with Section 25F of the Value Added Tax Act, No.14 of 2002 (as amended)?*

VII. *Did the Tax Appeals Commission erred in law in failing to consider that the Appellant is involved solely in the insurance business which is an industry strictly regulated by the provisions of the Regulation of Insurance Industry Act No. 43 of 2000 as amended?*

VIII. *Did the Tax Appeals Commission erred in law in failing to consider that the business of Life Insurance of the Appellant is outside the scope of Section 25F of the VAT Act and therefore the Appellant is not liable for VAT on Financial Services under Section 25 F of the VAT Act?*

IX. *Has the Tax Appeals Commission erred by failing to consider that the interest income of the Appellant is in any event zero rated under Section 25 C5 (e) of the VAT Act inasmuch as the Appellant is not a specified institution nor an* *unregistered finance institution within the meaning of the said Section 25 C5 (e) of the VAT Act?*

X. *Did the Tax Appeals Commission erred in law by failing to consider that the amounts invested by the Appellant from and out of the life insurance policyholders' fund are tied to and payable to the said policy holders by way of contract and is not a value addition for the Appellant?*

XI. *In view of the facts and circumstances of the case did the Tax Appeals Commission erred in law when it came to the conclusion that it did?"*

ANALYSIS

The Question of Law No.I, is in relation to the issue of whether the Respondent's determination is time-barred. The remaining questions of law, concern the tax on financial services. In these circumstances, I shall first consider Question of Law No. I, if the determination of the Respondent is time barred, little purpose is served in examining the rest of the questions of law.

Question of Law No. I

I. *Did the Tax Appeals Commission erred in failing to consider that the determination of the Commissioner General is time barred in law?*

It is the Appellant's contention that the petition of Appeal against the assessment of the Assistant Commissioner was submitted to the Respondent on 28th of July 2016. And subsequently the appeal was heard by the Respondent and the determination dated 23rd of July 2018 was sent to the Appellant on 13th of August 2018, which is well after the time period prescribed by law. Therefore, the Appellant contends that the determination of the Respondent is time barred in terms of section 34(8) of the VAT Act.

According to section 34(8) of the VAT Act, an appeal made to the Commissioner General of Inland Revenue is required to be determined within a period of two years from the date on which the petition was received by the Commissioner.

section 34(8) of the VAT Act, which deals with the determination to be made by the Respondent in the following manner;

> *"(8)……………………*
>
> *Provided further**, that every petition of appeal under this Chapter shall be agreed to or determined by the Commissioner-General within two years from the date on which such petition of appeal is received by the Commissioner-General**, unless the agreement or determination of such appeal depends on the furnishing of any document or the taking of any action by any person other than the appellant or the Commissioner General or an Assessor. **Where such appeal is not agreed to or determined within such period the appeal shall be deemed to have been allowed and the tax charged accordingly**. The receipt of every appeal shall be acknowledged (within thirty days of its receipt and where so acknowledged, the date of the letter of acknowledgement shall for the purposes of this section be deemed to be the date of receipt of such appeal). **Where however the receipt of any appeal is not so acknowledged, such appeal shall be deemed to have been received by the Commissioner-General on the day on which it is delivered to the Commissioner-General…**…………."*

According to the above provision, the Commissioner-General is required to determine a petition of appeal within two years from the date of its receipt. It further provides that where an appeal is not agreed to or determined within that period, the appeal shall be deemed to have been allowed and the tax liability be adjusted accordingly, unless the delay is attributable to the furnishing of documents or the taking of action by a person other than the Appellant, the Commissioner-General, or an Assessor. The proviso also prescribes the manner in which the date of receipt of the appeal is to be determined for the purpose of calculating the two-year period. Where the Commissioner-General acknowledges receipt of the appeal within thirty days, the date of the letter of acknowledgment is deemed to be the date of receipt of the appeal. However, where no such acknowledgment is issued, the appeal is deemed to have been received on the date it was delivered to the Commissioner-General.

The Appellant contends that the appeal was delivered to the Respondent on 28th of July 2016. As the Respondent has failed to acknowledge the receipt of the appeal within the period prescribed by law, the Appellant submits that, in terms of section 34(8), the appeal is deemed to have been received by the Respondent on 28th of July 2016.

The Appellant further contends that section 34(8) requires the Respondent to agree to or determine an appeal within two years from the date of its receipt. Accordingly, the Respondent was required to determine the appeal on or before 27th of July 2018.

While the determination of the Respondent bears the date 23rd of July 2018, the Appellant submits that it was received by the Appellant only on 13th of August 2018 (Annexure D). The Appellant therefore contends that the determination was not made within the statutory period and was consequently made out of time.

The Appellant further argues that section 34(8) expressly provides the consequence of a failure to determine an appeal within the prescribed two-year period, namely that the appeal shall be deemed to have been allowed and the tax liability be adjusted accordingly. In view of the foregoing, the Appellant submits that the Respondent's determination is time-barred.

The Respondent neither disputes the facts presented to this Court nor adduces any material to the contrary. Furthermore, there is no evidence to establish that the Respondent duly acknowledged the receipt of the Appellant's appeal.

Therefore, when considering the circumstances of the case, together with the materials placed before this Court, it is apparent that the Respondent has failed to acknowledge the Petitioner's appeal in accordance with section 34(8) of the VAT Act. Therefore, the appeal is deemed to have been received by the Commissioner-General on the date it was delivered to the Commissioner-General, namely, 28th of July 2016.

On that basis, the Respondent was required to determine the appeal within two years from the date on which it was deemed to have been received. Accordingly, the Respondent ought to have determined the appeal on or before 27th of July 2018.

However, in the present matter, although the Respondent is said to have determined the appeal on 23rd of July 2018, the said determination was communicated to the Petitioner only on 14th of August 2018, well after the expiry of the time limit prescribed by law.

This Court finds it necessary to reiterate, that a determination cannot be regarded as having been validly made within the statutory time period if it is merely signed or finalized within that period but communicated to the taxpayer several weeks thereafter. Such an approach is fundamentally misconceived. As parties with a direct interest in the appeal, both the Respondent and the taxpayer are equally entitled to know the outcome of the determination within the time prescribed by law.

Furthermore, the Respondent cannot make a determination, retain it in its registry, and communicate it to the taxpayer several weeks later while maintaining that the determination was made within the statutory period. A determination cannot be considered to have been made within the time limit prescribed by law unless it has been duly communicated to the taxpayer within that period.

For the reasons set out above, I answer the question of law in the Affirmative.

In view of the conclusion reached on Question of Law No. I, the appeal made to the Respondent must be regarded as having been allowed in terms of the section 34(8) of the VAT Act. Therefore, I do not find it necessary to address the remaining questions of law raised by the Appellant.

CA/TAX/15/2020

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 27th of August 2020. This appeal is filed under section 36 of the Value Added Tax Act No.14 of 2002 (VAT Act).

The tax in dispute is against the assessment made for the taxable period 1st of January 2012 to 31st of December 2012 and the taxable amount in issue is Rs. 192,009,796.00. with a penalty of 138,247,052.00.

FACTUAL BACKGROUND

The Appellant has submitted the VAT return for the above taxable period, which was rejected by the Assistant Commissioner of the Department of Inland Revenue by the letter dated 18th of June 2015. Accordingly, the Assistant Commissioner has issued a new assessment by the Notice of Assessment dated 18th of June 2015. The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in its determination dated 20th of July 2017 determined the appeal by upholding the assessment issued by the Assistant Commissioner. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC). The TAC after considering the submissions made by both parties, dismissed the appeal by the determination dated 27th of August 2020 and confirmed the determination made by the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

I. *"Did the Tax Appeals Commission err in law in failing to consider that the purported Registration of the Appellant effected by the Deputy Commissioner for the VAT on Financial Services ultra vires, null and void and in violation of Section 25 of Value Added Tax Act No. 14 of 2002, as amended, (VAT Act) as*

Appellant was not afforded on opportunity of being heard prior to being registered?

II. *In any event did the Tax Appeals Commission err in law by failing to consider that a Deputy Commissioner has no legal authority to register the Appellant for the purposes of VAT on Financial Services under Section 25A(3) of the VAT Act?*

III. *Did the Tax Appeals Commission err in law in failing to consider that the subject assessment of the Deputy Commissioner is invalid in law inasmuch as she has failed to give reasons in making her assessment as required inter alia under Section 29 of the VAT Act?*

IV. *Did the Tax Appeals Commission err in law in failing to consider that the subject assessment is incorrect and/or invalid as it has been issued considering life and non-life income of the Appellant together?*

V. *Did the Tax Appeals Commission err in law in failing to recognize that the business of non-life insurance of the Appellant is not liable to VAT on Financial Services?*

VI. *Did the Tax Appeals Commission err in law when it came to the conclusion that the Appellant was liable to pay Value Added Tax on Financial Services?*

VII. *Did the Tax Appeals Commission err in law when it concluded that the Appellant was liable to pay Value Added Tax on Financial Services but did not quantify the Appellant's liability in terms of the Act by failing to take into consideration Section 25C(5)(a) and (c) of the Value Added Tax Act No. 14 of 2002 (as amended)?*

VIII. *Did the Tax Appeals Commission err in law by concluding that the Appellant is involved in the supply of financial services in terms of Section 25A(1) read with Section 25F of the Value Added Tax Act, No.14 of 2002 (as amended)?*

IX. *Did the Tax Appeals Commission err in law in failing to consider that the Appellant is involved solely in the insurance business which is an industry strictly regulated by the provisions of the Regulation of Insurance Industry Act No. 43 of 2000 as amended?*

X. *Did the Tax Appeals Commission err in law in failing to consider that the life insurance business of the Appellant is exempted from VAT?*

XI. *Did the Tax Appeals Commission err in law in failing to consider that the business of Life insurance of the Appellant is outside the scope of Section 25F of the VAT Act and therefore the Appellant is not liable for VAT on financial services under Section 25F of the VAT Act?*

XII. *Did the Tax Appeals Commission err in law in failing to consider that the investment of Appellant of the life insurance policyholders' monies in Treasury Bills and other similar instruments is to ensure security for policy holder funds and not as granting a loan to the Government?*

XIII. *Did the Tax Appeals Commission err in law in failing to consider that the amounts invested by the Appellant from and out of the life insurance policyholders' fund are tied to and payable to the said policy holders by way of contract and is not a value addition for the Appellant?*

XIV. *In view of the facts and circumstances of the case did the Tax Appeals Commission err in law when it came to the conclusion that it did? "*

ANALYSIS

The first two Questions of Law concern the registration of VAT on financial services and will be considered together. Question of Law No. III relates to the requirement imposed upon the Assessor under section 29 of the VAT Act to provide reasons for the assessment, while Question of Law No. IV concerns the segregation of life insurance and non-life insurance business. As these issues raise distinct legal considerations, they will be addressed separately.

The remaining Questions of Law, namely Nos. V to XIV, relates to the imposition of VAT on financial services in the context of the life insurance business. These questions will likewise be considered separately.

Questions of Law No. I and II

I. *"Did the Tax Appeals Commission err in law in failing to consider that the purported Registration of the Appellant effected by the Deputy Commissioner for the VAT on Financial Services ultra vires, null and void and in violation of Section 25 of Value Added Tax Act No. 14 of 2002, as amended, (VAT Act) as Appellant was not afforded on opportunity of being heard prior to being registered?*

II. *In any event did the Tax Appeals Commission err in law by failing to consider that a Deputy Commissioner has no legal authority to register the Appellant for the purposes of VAT on Financial Services under Section 25A(3) of the VAT Act?*

It is the Appellants contention that the registration of the Appellant by the Deputy Commissioner of Department of Inland Revenue on VAT on Financial Services are ultra vires under section 25 of the VAT Act.

According to the letter dated 14th of December 2012, the Deputy Commissioner by way of registered post has informed the Appellant , that it has been registered for VAT on Financial Services in terms of section 14(1)(c) of the VAT Act (Annexure B).

On this basis, the Appellant submits that the Deputy Commissioner has no authority in law to register a person for VAT on Financial Services and therefore the actions of the Deputy Commissioner is bad in law.

The section 25A(3) of the VAT Act, deals with the requirement for the registration of VAT on financial services in the following manner;

"25A.

(3) Every specified institution or other person required to be registered under subsection (2), shall make an application for registration in the specified form to the

Commissioner-General not later than thirty days from the date of completion of the requirements specified in subsection (2):

Provided that, any institution registered under this Act and which is also a specified institution within the meaning of this Chapter, shall be deemed for all purposes to be a specified institution registered under this Chapter:

Provided further, the ***Commissioner-General shall register any person who has not made an application for registration under this Chapter if the Commissioner-General having regard to the nature of the activities carried on or carried out by such person****, is of opinion that such person is required to be registered under this Chapter.* ***In the circumstances <u>such person shall be afforded an opportunity of being heard prior to being registered under</u> this Chapter and register such person accordingly*** *with effect from such date as may be determined by the Commissioner-General. "*

Section 25A(3) of the VAT Act confers upon the Commissioner-General the statutory power to register a person for VAT notwithstanding the absence of an application for registration. Such power may be exercised where, having regard to the nature of the activities carried on by that person, the Commissioner-General forms the opinion that the person is liable to be registered under the Act. The exercise of this power is, conditional upon the Commissioner-General first affording the person an opportunity of being heard. Upon compliance with that procedural requirement, the Commissioner-General is empowered to register such person with effect from such date as may be determined.

On this basis, the Appellant contends that the registration process has been made without due regard to the procedure laid in the Act. Further, the Appellant contends, that prior to the registration process the Appellant was not afforded an opportunity to be heard. Accordingly, the Appellant contends that the decision of the Deputy Commissioner to register the Appellant was not made in accordance with the provisions of the Act and is therefore *ultra vires*.

When considering the materials presented before this court, it is apparent that there has been no opportunity provided for the Appellant before the registration process, as required under section 25A(3) of the VAT Act. Thereby, the Deputy Commissioner has failed to follow the due process of law in registering the Appellant for VAT on Financial Services.

Therefore, the questions of law No. I and II are answered in the affirmative.

However, I also find it necessary to observe that the present application before this Court is by way of a case stated and not by way of judicial review. Moreover, the VAT Act under section 25A(3) has failed to provide any remedies for the non-compliance of such procedure. Accordingly, this Court is of the view that the relief available under its writ jurisdiction cannot be granted in proceedings by way of a case stated, particularly in respect of an alleged failure by the Deputy Commissioner to comply with the procedure prescribed by the VAT Act.

Nevertheless, the Tax Appeals Commission is not precluded from examining whether the statutory procedure has been complied with and from granting such relief as may be warranted in the interests of justice to the taxpayer.

Accordingly, this issue is remitted to the Tax Appeals Commission for its consideration and for such action as may be appropriate.

Question of law No. III

III. *Did the Tax Appeals Commission err in law in failing to consider that the subject assessment of the Deputy Commissioner is invalid in law inasmuch as she has failed to give reasons in making her assessment as required inter alia under Section 29 of the VAT Act?*

It is the contention of the Appellant that, where the Assessor declines to accept a return furnished by a taxpayer and proceeds to issue an assessment in substitution thereof, the Assessor is under a statutory obligation to communicate in writing the reasons for rejecting such return.

The Appellant further contends that in the present case, the Assessor has failed to comply with the requirements under section 29 of the VAT Act, as he has not communicated the reasons for rejecting the return submitted by the Appellant. Instead, the Assessor has merely conveyed his conclusion that the return was unacceptable, without disclosing the basis upon which such conclusion was reached. The Appellant therefore submits that the impugned assessment, having been issued in the absence of the reasons required by law is unsustainable in law.

The Appellant has made the VAT returns for the taxable year 2012/2013, and it was rejected by the Assessor by letter dated 18th of June 2015 on the following basis;

> *"This refers to your returns of Value Added Tax on Financial Services and audited statement of accounts submitted for the above periods. Please note that the above returns are not accepted due to the following reasons.*
>
> *1. Liability of Value Added Tax on Financial Services (VAT on FS)*
>
> *In terms of section 25 under Chapter III A of the Value Added Tax Act No. 14 of 2002 (Act) and subsequent amendment thereof:*
>
> *"Every specified institution or by any person carries on the business of supplying financial Services in Sri Lanka shall be required to be registered and tax be charged on such supply."*
>
> *Section 25F of the Act define the supply of Financial Services and Section 25C specifies the method of calculation the value addition for the above purpose.*

According to the audited statement of accounts for the year ended 2012/13. following income included in the net profit should be identification as supply of financial services under the meaning of section 25F.

1. Interest income on repurchase of Treasury Bills

2. Interest income on repurchase of Treasury Bonds

3. Interest income on Treasury Bills

4. Interest income on Treasury Bonds

5. Interest income on Debentures

6. Interest income on Unquoted debentures

7. Interest income on Policy Loans

8. Penalty Interest on Insurance Housing Loans

9. Interest on Insurance Housing Loans

10. Interest on Rakshana Sevana

11. Penalty Interest Insurance on Rakshana Sewana

17. Interest Income on Loans to Field Stall

13. Interest Income on Loans to Office Staff

14. Interest earned on Sri Lanka Development Bonds

15. Unrealized gain on Foreign Currency Conversions

Accordingly, Value Added Tax liability of the Company on supply of financial services is calculated as follows:"

The Assessor, in rejecting the return furnished by the Appellant, has classified certain income reflected in the Appellant's net profit as consideration received from the supply of financial services. Consequently, the Assessor has issued a revised assessment on the premise that such income constituted consideration for the supply of financial services and, therefore it falls within the ambit of section 25 of the VAT Act.

The Section 29 of the VAT Act reads as follows;

> *"Where the Assessor does not accept a return furnished by any person under section 21 for any taxable period and makes an assessment or an additional assessment on such person for such taxable period under section 28 or under section 31, as the case may be, the* ***Assessor shall communicate to such person by registered letter sent through the post why he is not accepting the return****."*

The above provision imposes a mandatory statutory obligation upon the Assessor to communicate the reasons for rejecting a return furnished under section 21 where such return is not accepted and an assessment or an additional assessment is made under section 28 or section 31, as the case may be. The communication of such reasons is required to be effected by means of a registered letter sent through the post.

When considering the reasons provided by the Assessor in light of the statutory requirement to furnish reasons under section 29 of the VAT Act, it becomes apparent that the Assessor has treated the income received by the Appellant from its investments made pursuant to the regulatory framework governing the life insurance business as consideration received from the supply of financial services. However, it is well established under Schedule I, Part II of the VAT Act, that the business of life insurance is exempt from Value Added Tax. The Assessor, in doing so, has failed to give effect to the express statutory exemption and improperly included the income arising from the Appellant's life insurance business within the scope of financial services for the purposes of section 25 of the VAT Act.

The exception applicable to the business of life insurance is a matter of law of which the Assessor ought to have been fully aware. However, the Assessor has neither furnished any reasons for refusing to apply that exception nor demonstrated that due consideration was given to it in reaching the assessment.

Consequently, the issue that arises before this court is whether the communication of reasons that are irrelevant or invalid in law is, in substance equivalent to failure to provide reasons where the law requires reasons to be furnished for the rejection of a return and the issuance of an assessment.

In the case of ***Benedict and others V. Monetary Board of the Central Bank of Sri Lanka and Others (Pramuka bank case) (2003)*** **3 SLR page 78**, His lordship Sripavan J. held the failure to provide adequate reasons may itself amount to an error of law, as it denies the affected party the opportunity of understanding the basis upon which the decision was reached and inhibits meaningful judicial scrutiny.

> *"In the absence of reasons, it is impossible to determine whether or not the first respondent in fact considered the four options given in clause 13.3.* ***Failure to give adequate reasons therefore amounts to a denial of justice and is itself an error of law. The reasons must not only be intelligible but should deal with the substantial points which have been raised. The courts have treated inadequacy of reasons as an error on the face of record so that inadequately reasoned decision could be quashed, even if the duty to give reasons was not mandatory****. [Vide Re Poyser and Mills ' Arbitration.] In the absence of reasons, the person affected may be unable to see whether there has been a justiciable flaw in the decision making process "If reasons are not disclosed the inference may have to be drawn that it is because in fact there were no reasons - and so also, if reasons are suggested, they were in fact not the reasons which actually influenced the decision in the first place ."*

Furthermore, in the case of ***Dinga Thanthirige Jayalath Perere V. Vice Admiral W.K.J. Karannagoda, Commander of the Sri Lanka Navy And Others,*** **SC Appeal 11/2017 decided on 11.01.2023**, His lordship Jayantha Jayasuriya, PC, CJ held that providing reasons constitute the external manifestation of the decision maker's internal reasoning process.

> *"'Reasons for a decision' are the internal cognitive thought processes which result in the decision maker arriving at his decision.* ***Reasons would reflect the internal step-by-step process which culminates in the final decision****. It amounts to the 'logic' which links the 'material considered' with the 'decision' arrived at. In the context of a pronouncement by a Court of Law or a Court Martial, '****reasons' would amount to the (a) determination of relevant facts based on testimony or other material considered by the decision-maker, (b) appreciation and application of the law, and (c)***

> ***conclusions reached which propelled the decision-maker to arrive at the final decision.*** *Thus, 'reasons for the decision' is nothing additional. It is a mere external announcement of the internal decision-making process. "*

The principles emerging from the above authorities make it abundantly clear that giving reasons is an integral component of lawful decision-making. The reasons furnished by a decision-maker must be intelligible, adequate, and capable of demonstrating the reasoning process by which the decision was reached. They must address the substantial issues raised by the parties and disclose the logical nexus between the materials considered, the applicable law, and the conclusions ultimately reached. In the absence of such reasons, it becomes impossible for the affected party, as well as an appellate court, to ascertain whether the decision-maker has properly appreciated the relevant facts, correctly applied the law, and exercised the statutory discretion in accordance with law.

When considering the circumstances of the case, the Assessor has merely reproduced the relevant statutory provisions and identified the various categories of income which according to the Assessor, constitutes the supply of financial services. However, the said letter furnished by the Assessor is devoid of any analysis explaining how those categories of income fall within the definition contained in section 25F of the VAT Act or why the Appellant's activities amount to the carrying on of a business of supplying financial services. More significantly, the Assessor has failed to produce the logical reasoning in arriving at his conclusion.

Upon considering the circumstances of the present case, this Court finds that the Assessor has failed to disclose the reasoning by which he concluded that the categories of income identified in the assessment constituted the supply of financial services and therefore chargeable to tax under section 25 of the VAT Act.

Therefore, I answer the question of law III in the Affirmative.

<u>Question of law No. IV</u>

IV. *Did the Tax Appeals Commission err in law in failing to consider that the subject assessment is incorrect and/or invalid as it has been issued considering life and non-life income of the Appellant together?*

It is the contention of the Respondent that the assessment issued by the Assessor proceeds on the erroneous assumption that income derived from the Appellant's life insurance business is aggregated with the income arising from its non-life insurance business for the purpose of determining the value of taxable financial services.

The Appellant further contends that the above approach is contrary to the statutory framework governing Value Added Tax. Schedule I, Part II of the VAT Act expressly exempts the business of life insurance from Value Added Tax. Consequently, the income attributable to the life insurance business falls outside the charging provisions of the Act and cannot lawfully be brought into the computation of taxable financial services by merely combining it with income derived from taxable activities.

The Appellant Argues that the Regulation of Insurance Industry Act, No. 43 of 2000 (as amended), mandates the separation of life insurance and general insurance businesses and requires each business to be conducted and accounted for independently. The statutory separation of those businesses reinforces the legislative intention that the financial affairs of each business remain distinct, on the basis that the life insurance business is exempted from VAT. Accordingly, it’s the Appellants position that an assessment which disregards that statutory distinction and computes VAT by combining life and non-life income is fundamentally inconsistent with both the VAT Act and the regulatory framework governing the insurance industry.

This position can be clearly seen even under section 27 of the Regulation of Insurance Industry Act, No. 43 of 2000, which was enacted prior to the segregation of Life insurance from the General Insurance. The section is reproduced below;

“27.

> *Where an insurer carries on* ***business of one or more classes of insurance business, such insurer shall keep separate account of all receipts and payments in respect of each class of insurance business*** *and also maintain separate accounts in respect of each sub-class of general insurance business it is carrying on. ."*

The above provision imposes a statutory obligation upon every insurer carrying on one or more classes of insurance business to maintain separate accounts for each class of insurance business. Specifically, the insurer is required to keep separate records of all receipts and payments attributable to each class of insurance business and, where it carries on general insurance business, to maintain separate accounts for each sub-class of general insurance business.

Further, the Parliament has consistently treated the life insurance business and the general insurance business as legally distinct businesses. Sections 27 and 38 of the Regulation of Insurance Industry Act require separate accounts, separate assets, and a separate Long Term Insurance Fund for the life insurance business. The legislature has further reinforced this distinction under section 53 of the Regulation of Insurance Industry (Amendment) Act, No. 3 of 2011, which mandates the segregation of long-term and general insurance businesses into separate legal entities. When considering the present matter against the statutory background, it is noted that the law requires the life insurance and non – life insurance to be treated separately.

Further, in ***Sri Lanka Insurance Corporation Ltd. V. Commissioner General of Inland Revenue*** **CA/TAX/19/2019 decided on 3.5.2023,** the court has recognised that life insurance constitutes a distinct business governed by a separate statutory regime, and the investment income earned from policyholders' funds forms an integral part of the life insurance business. The court held that the life insurance is deliberately excluded from the ambit of taxable financial services under section 25F of the VAT Act.

Accordingly, it is my view that the Tax Appeals Commission erred in law in failing to recognise that the assessment, being founded upon the aggregation of life insurance income with non-life insurance income, is contrary to the statutory provision and is therefore invalid in law.

Hence, I answer the question of law IV in the affirmative.

Questions of law No. V – XIV

The question of law No. V, which has been raised by the Appellant, is reproduced below;

V. Did the Tax Appeals Commission err in law in failing to recognize that the business of non-life insurance of the Appellant is not liable to VAT on Financial Services?

However, this court finds that the above question has not been formulated properly. Therefore, this court takes the necessary steps to formulate the said question of law I in the following manner;

V. Did the Tax Appeals Commission err in law in failing to recognize that the business of life insurance of the Appellant is not liable to VAT on Financial Services?

The principal issue arising from Questions of Law V to XIV is in relation to whether the Appellant, having regard to the statutory framework governing the insurance industry and the charging provisions contained in Chapter IIIA of the VAT Act, is liable to Value Added Tax on Financial Services in respect of its life insurance business and the investment income derived therefrom. The remaining questions are ancillary to this principal issue and are addressed together in the following manner.

The Questions raised by Appellant, primarily relate to two material issues:

1. Whether the Appellant is liable to pay Value Added Tax on financial services on the business of life insurance; and
2. Whether the business of life insurance is exempt from Value Added Tax (VAT);

Accordingly, I shall consider each of the above issues in the following manner.

VAT on Financial Services

It is the contention of the Appellant that it does not involve or provide any financial services and therefore it cannot be considered for VAT on financial services. The Appellant further asserts that it is not a specified institution nor does it fall within the scope of section 25A(1) of VAT Act.

Chapter IIIA of the VAT Act imposes Value Added Tax (VAT) on the supply of financial services by specified institutions and by any other person carrying on the business of supplying financial services.

Pursuant to section 25G of the VAT Act, the provisions of Chapter IIIA apply only to persons who fall within the ambit of that section.

Section 25G of the VAT Act provides as follows:

> *"Where **any person carries on the business of supplying financial services**, the preceding provisions of this Chapter shall,* mutatis mutandis*, apply to and in relation to the supply of such services made by such person on or after July 1, 2003."*

Accordingly, the provisions of Chapter IIIA of the VAT Act apply only to a person who carries on the business of supplying financial services.

Further, the Appellant relies on section 25A of the Act, which is the charging provision reads as follows;

> *"Notwithstanding the provisions of Chapters I, II, III and item (x) of paragraph (b) of PART II of the First Schedule to this Act a Value Added Tax (hereinafter in this Chapter referred to as "the tax") shall be charged in accordance with the provisions of this Chapter with*
>
> *on the supply of financial services in Sri Lanka –*
>
> *(i) by any specified institution during the period commencing January 1, 2003 and ending on June 30, 2003; and*

(ii) by any person on or after July 1,2003 but prior to December 31,2007;

(iii) by any person other than a Co-operative Society registered under the Co-operative Societies Law. No 5 of 1972, on or after January 1, 2008; and

(iv) by any person other than a Co- operative Society registered under the Co-operative Societies Law No 5 of 1972 or Lady Lochore

Loan Fund established under the Act No 38 of 1951, commencing on or after January 1, 2009, or the Central Bank of Sri Lanka established by the Monetary Law Act, (Chapter 422) (with effect from July 1, 2003), or Sri Lanka Deposit Insurance Scheme established by regulation made under the said Act (with effect from April 1, 2018):

Provided however, the supply of financial services by a Unit Trust or a Mutual Fund shall not be treated as a financial service for the purpose of this section. "

It is the Appellant's position that it is not a finance company or a specified institution within the meaning of the VAT Act, but an insurance company. Therefore, the Appellant contends that it is not engaged in the business of supplying financial services.

The section 25F of the VAT Act, defines the term 'supply of financial services' in the following manner;

"For the purposes of this Chapter - supply of financial services means –

(a) the operation of any current, deposit or savings account;

(b) the exchange of currency;

(c) the issue, payment, collection or transfer of ownership of any note, order for payment, cheque or letter of credit ;

(d) the issue, allotment, transfer of ownership, drawing, acceptance or endorsement of any debt. security, being any interest in or right to be paid money owing by any person other than the transfer of nonperforming loans of a licensed Commercial Bank to any other person in terms of a restructuring scheme of such bank as approved by the Central Bank of Sri Lanka with the concurrence of the Minister;

(e) the issue, allotment, transfer of ownership of any equity security or a participatory security ;

(f) issue, underwriting, sub-underwriting or subscribing of any equity security, debt security or participatory security;

(g) the provision of any loan, advance or credit;

(h) the provision –

(a) of the facility of instalment credit finance in a hire purchase conditional sale or credit sale agreement for which facility a separate charge is made and disclosed to the person to whom the supply is made;

(b) goods under any hire purchase agreement or conditional sale or hire purchase agreement while have been used in Sri Lanka for a period not less than twelve months as at the date of such agreement, or

(c) of leasing facilities under any; -finance lease agreement; or -operating lease agreement in respect of any installment for any period prior to on November1, 2016,

Or any asset other than any land or building, if such agreement is entered into on or after October 25, 2014 and not being an agreement entered into prior to October 25, 2014. "

Section 25F defines the term "supply of financial services" to include a wide range of financial transactions, such as the operation of bank accounts, currency exchange, payment and credit instruments, dealings in debt and equity securities, the provision of loans, advances and credit facilities, hire purchase and conditional sale arrangements, and leasing facilities, together with other specified financial activities.

The Appellant contends that its sole business is the carrying on of life insurance business, which does not fall within the scope of section 25F of the VAT Act. The Appellant further submits that the interest income derived from its investments constitutes passive income and is not received in the course of carrying on a business of supplying financial services.

The Appellant further contends that it periodically invested the funds of its life insurance policyholders in Treasury bills and other similar instruments to safeguard the policyholders' fund, as required under the Regulation of Insurance Industry Act, No. 43 of 2000 (as amended). It maintains that such investments were not undertaken as part of a business of providing loans or other financial services. Accordingly, it is the Appellant's position that it engages solely in the business of life insurance, which is a statutorily regulated business, and that such business does not fall within the definition of "financial services" set out in section 25F of the VAT Act.

However, the Respondent contends that the Appellant is engaging in the business of supplying financial services in addition to life insurance business and therefore is liable for VAT on financial services.

The Assistant Commissioner of Department of Inland Revenue has rejected the VAT return of the Appellant on the basis that the interest income received on repurchase of the treasury bills, repurchase of treasury bonds…etc falls within the definition of financial services under section 25F of the VAT Act.

Upon the Appellant preferring an appeal against the said assessment, the Respondent, by the Reasons for Determination dated 20th of July 2017, concluded that the activities carried out by the Appellant constituted the supply of financial services within the meaning of section 25F of the VAT Act. The Respondent has concluded on the basis that that activities numbered 1 to 14 fall within the ambit of section 25F(c), (d), (e) and (g) of the Act, whilst activity numbered 15 falls within the scope of section 25F(b). The Respondent further concluded that the interest income derived from Treasury bills and Treasury bonds constituted consideration arising from the provision of loans and, accordingly, falls within section 25F(g) of the VAT Act.

The Respondent in its reasons for its determination dated 20th of July 2017, explains in the following manner;

> *"The appellant in his letter of appeal, stated the following, quoting the section 25 A of the VAT Act.*
>
> *For any person, to be charged with VAT on Financial Services, the following conditions need to be satisfied.*
>
> > *i. Such person must render financial services as defined in section 25F of the VAT Act.*
> > *ii. He must render such financial services in the business of supplying such financial services.*
>
> *The said condition for the chargeability as in i and ii above do not apply to SLIC"*
>
> *However, in deciding if the above two conditions are satisfied by SLIC it is observed that the activities of the SLIC have satisfied the above two conditions.*
>
> *Below is an analysis of how SLIC is satisfied the above two conditions.*
>
> > *i. Such person must render financial services as defined in section 25F of the VAT Act.*
>
> *In deciding whether the activities assessed are defined as financial services, the said activities are fallen under definition of financial services as described in section 25F of the VAT Act.*

Below are the activities of the SLIC, the assessor has considered as fallen under the definition of financial services of the section 25F the VAT Act.

1. Interest income on repurchase of Treasury Bills.

2. Interest income on repurchase of Treasury Bonds.

3. Interest income on Treasury Bonds.

4. Interest income on Treasury Bonds.

5. Interest income on debentures

6. Interest income on unquoted debentures.

7. Interest income on policy loans.

8. Penalty interest on insurance housing loans.

9. Interest on insurance housing loans.

10. Interest income on raksana sevana.

11. Penalty interest income on raksana sevana.

12. Interest income on loans to field staff.

13. Interest income on loans to office staff.

14. Interest earned on Sri Lanka development bonds.

15. Unrealized gain on foreign currency conversion.

Above activities of the company are fallen under the financial services as stated in Section 25. F of the VAT act as stated below.

The above activities No 1,2,3,4,5,6,7,8,9,10,11,12,13,14 fall under the section 25 F (c), (d), (e) and (g)

The above item No 15 fall under the section 25F (b)

Following activities are fallen under the definition of VAT on Financial Services in terms of section 25F of the VAT Act"

Being dissatisfied with the said determination, the Appellant preferred an appeal to the Tax Appeals Commission. By its determination, the Tax Appeals Commission affirmed the findings of the Respondent and upheld the assessment on the same basis.

In determining whether an institution falls within the scope of supplying financial services, it must first satisfy the requirements set out in section 25F of the VAT Act. Further, the relevant financial service must be provided in the course of carrying on the business of supplying financial services. This position was clearly established in the authority set out below.

In the case of ***Sri Lanka Insurance Corporation Limited V. The Commissioner General of Inland Revenue*** **CA/TAX/19/2019 decided on 3.5.2023,** His Lordship Ruwan Fernando J. held the following elements to be satisfied for the imposition of VAT on Financial Services;

> *"The twofold elements to be satisfied for the imposition of VAT on the supply of financial services by specilised Institutions or by any person under Chapter IIIA of the VAT Act are the following:*
>
> *1. The Appellant supplied/provided a financial service as defined under section 25F of the VAT Act; and*
>
> *2. Such financial service was supplied in the course of the business of supplying financial services."*

When considering the above authority, the first element is that the activity in question must constitute the supply of a "financial service" within the meaning of section 25F of the Act. Secondly, such financial service must be supplied in the course of carrying on a business of supplying financial services. Accordingly, the mere existence of an activity falling within the definition of a financial service is, by itself, insufficient to attract liability under Chapter IIIA. It must also be established that the person concerned carries on the business of supplying such financial services. Both conditions are cumulative in nature, and the absence of either is sufficient to exclude liability under section 25 of the VAT Act.

Moreover, there is no material before this Court to establish that the Appellant made investments beyond the applicable regulatory framework governing its insurance business. In the absence of any evidence to the contrary, this Court is unable to conclude that such investments were undertaken otherwise than in the ordinary course of carrying on the Appellant's life insurance business. Accordingly, the income derived from such investments must be regarded as incidental to and forming part of the Appellant's life insurance business.

Upon a consideration of the facts and circumstances of the present case, this Court finds that the Appellant's principal business is the carrying on the business of life insurance, which is regulated under the Regulation of Insurance Industry Act, No. 43 of 2000. In the course of carrying on that business, the Appellant is required by the applicable regulatory framework to invest the funds under its management in Treasury bills, Treasury bonds, and other approved investment instruments.

The material before this Court does not convince that the Appellant carries on the business of supplying financial services within the meaning of section 25 of the VAT Act. The investments made by the Appellant in Treasury bills and Treasury bonds are incidental to, and undertaken in furtherance of, its insurance business in compliance with the statutory and regulatory requirements governing that business. Such investments, do not constitute the carrying on of a business of supplying financial services as contemplated by section 25F of the VAT Act.

Accordingly, this Court is of the view that the Appellant has not engaged in the business of supplying financial services under 25 of the VAT Act.

Business of Life Insurance

The remaining issue before this court is whether the Appellant's life insurance business falls within the ambit charging provisions of the VAT or whether it is exempt under the VAT Act.

The Appellant contends that as part of its life insurance business, it receives premiums from policyholders, which are credited to a life insurance fund. The Appellant further states that the monies in that fund are invested in accordance with the applicable regulatory requirements in order to meet management expenses, provide bonuses, and ultimately discharge its obligations to policyholders upon the maturity of the policies or the occurrence of insured events. Accordingly, it is the Appellant's position that the entire process relating to its life insurance business is exempt from VAT on financial services.

According to section 25C(5)(a) of the VAT Act, it is abundantly clear that any supply falling within the scope of PART II (b)(x)(i) of the First schedule to the VAT Act are exempted. This legal position has not been disputed by either party.

The section 25C(5)(a) of the VAT Act reads as follows;

> *"(5) For the purpose of calculating the tax, the value addition attributable to –*
>
> *(a)* ***exempt supplies, other than the exempt supplies under item (x) of paragraph (b) of PART II of the First Schedule*** *but taxable under this Chapter ;*
>
> *(b) zero rated supplies ;"*

The part II (b)(x)(i) of the First schedule to the VAT Act, provides the following exceptions ;

> *" PART II*
>
> *(b)*
>
> *(x)*
>
> *………….*
>
> *(i) the* ***life insurance****, "Agrahara" insurance and crop and livestock insurance;*
>
> *…………"*

Accordingly, it is the Appellant's position that the VAT on financial services is only imposed on Financial Services that are enumerated under section 25F of the Act. And the business of life insurance is not provided for under section 25F and therefore cannot be chargeable for VAT on Financial Services.

This Court is of the view that the VAT Act itself expressly provides for the exemption of the business of life insurance from the charge of VAT. The language employed by the Legislature is clear and unambiguous, leaving no room for any alternative interpretation.

A similar approach has been taken by His Lordship Dr. Ruwan Fernando J. in the case of ***Sri Lanka Insurance Corporation Limited V. The Commissioner General of Inland Revenue*** **CA/TAX/19/2019 decided on 3.5.2023.**

> *"The **interest income received from investment of premium income in securities and other similar instruments generated an income to the life insurance fund which may ordinarily give rise to an inference that it was a taxable business income for the purpose the income tax law, which is totally different from the treatment of VAT on financial services under the VAT Act**.*
>
> *Even if the income from investment is treated as an income from life insurance business within the meaning of the income tax law, for the purpose of VAT liability, it must be proved that the Appellant supplied a financial service as defined in section 25F, and that such financial service was done in the business of supplying financial services. In the present case, both requirements are not satisfied.*
>
> *[150] The TAC has erred in failing to consider that the VAT principles are totally different from income tax principles and applied the income tax principles on the ground that the mere interest income earned from the investments form part of the business income and thus, the Appellant is liable to pay VAT on financial services. **The TAC, in my view, has totally failed to consider that the life insurance is not a financial service enumerated in section 25F so as to constitute a chargeable financial service. The TAC has further failed to consider that the life insurance business is exempted from VAT and therefore, any value addition is exempted from VAT in terms of item (x) (i) of Part II(b) of the First Schedule to the VAT Act. The TAC has failed to consider that the investment of the life insurance policy holders' monies in Treasury Bills and other similar instruments is to ensure security for the policy holder and to enhance the value of the policyholders' fund and not as granting loans to the Government, policy holders, staff or other financial instrument holders etc.** The TAC has failed to consider that no evidence has been placed before the assessor or the Respondent or the TAC that the Appellant was carrying on the business of supplying financial services defined in section 25A(1)(ii)*

read with section 25F of the VAT Act or the interest income was received from such other investment business not related to life insurance business."

Accordingly, having considered the relevant statutory provisions and the foregoing analysis, this Court is satisfied that the business of life insurance is expressly exempted from VAT. Further, the investments made by the Appellant in the course of carrying on its life insurance business, in compliance with the applicable regulatory framework, cannot be regarded as the supply of financial services or as constituting the carrying on of a business of supplying financial services within the meaning section 25 of the VAT Act.

Subsequent to the preparation of this judgment, a written submission tendered on behalf of the Respondent was received by this Court on 8th of July 2026 at 3.15 p.m. Having duly considered the said submission, I find no basis to depart from the findings and conclusions set out above.

Accordingly, Questions of Law V to XIV are answered in the affirmative.

CONCLUSION

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the questions of law formulated by the Appellant should be answered as set out below.

CA/TAX/22/2023

Question of law I – Affirmative

CA/TAX/15/2020

Question of law I – Affirmative

Question of law II – Affirmative

Question of law III – Affirmative

Question of law IV – Affirmative

Question of law V – Affirmative

Question of law VI – Affirmative

Question of law VII – Affirmative

Question of law VIII – Affirmative

Question of law XI – Affirmative

Question of law X – Affirmative

Question of law XI – Affirmative

Question of law XII – Affirmative

Accordingly, the appeals are allowed.

In the case of **CA/TAX/22/2023**, this court finds that the determination of the Respondent is time barred. Therefore, in effect the Appeal dated 28th of July 2016 made by the Appellant to the Respondent is allowed and the assessment dated 28th of June 2016 is annulled. Accordingly, the determination of the TAC dated 27th of January 2023 is overturned.

In the case of **CA/TAX/15/2020, as** the questions of law raised by the Appellant are answered in the above manner. The determination of the TAC dated 27th of August 2020, and the determination of the Respondent dated 20th of July 2017 are overturned and the Assessment dated 18th of June 2015, and the Notice of assessment dated 18th of June 2015 issued by the Assistant Commissioner of the Department of Inland Revenue, are hereby annulled.

The Registrar is directed to serve a copy of this judgment to the Secretary of the Tax Appeals Commission for necessary action.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal